Indian businessmen. EXIM Bank provides finance for import of technology, export product development, pre-shipment and post-shipment and overseas investment. National Housing Bank was established under the National Housing Bank Act, 1987. It is a wholly owned subsidiary of the RBI. The objective of NHB is to promote housing finance institutions at local and regional levels in India.

Example:

(i) Export - Import Bank of India (EXIM Bank)

(ii) National Housing Bank (NHB)

8. Local Area Banks

Local Area Bank (LAB) scheme was introduced by the RBI in August 1996. LABs are small private sector banks established in rural and semi-urban areas. Each bank serves two or three adjoining districts only. Their main objective is to mobilise rural savings (accept deposits) and invest them in the same areas. They have to follow the priority sector lending targets, including the targets on loans to weaker sections. RBI received 227 applications for setting up LABs. 10 were considered for approval and six were given license under Section 22 of the Banking Regulation Act, 1949. Only three LABs are functioning now.

Exmaples:

i. Coastal Local Area Bank, Vijayawada, Andhra Pradesh.

ii. Krishna Bhima Smruddhi Local Area Bank, Mahabubnagar, Telangana.

iii. Subhadra Local Area Bank Limited, Kolhapur, Maharashtra.

Deficiencies are found in the original model of LABs. There are practical difficulties in the operation of these banks. Even after 20 years (1996-2017) LABs could not make an impact in rural development. Therefore further licensing to LAB has been stopped.

9. Small Finance Banks

Small Finance Banks (SFBs) are private sector banks set up in unbanked and underbanked regions of the country to achieve financial inclusion. Their objectives are;

a. mobilising rural savings (accepting deposits) and

b. providing credit to

i. small and marginal farmers

ii. to micro and small industries and

iii other unorganised sector entities.

In September 2015, RBI granted provisional licenses to 8 Non-Banking Finance Companies (NBFCs) already engaged in microfinance to be converted into SFBs and 2 others. SFBs are low cost structure banks. They are formed under section 22 of the Banking Regulation Act 1949.

Examples:

i. ESAF SFB, Thiruvananthapuram, Kerala.

ii. Ujjivan SFB Limited, Bengaluru, Karnataka, (has 10,000 employees)

iii. Fincare SFB, Ahmedabad, Gujarat, has 25 branches spread over several states.

10. Payment Bank

Payment banks are formed to widen the spread of payment and financial

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